Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

1. Executive Summary

Three signals are turning from grey to red:

Signal	Status	Why Now
DAO legal wrapper	Red	Member liability shield, DAO bank account, governance clarity for TDG holders
Impact fund capital injection	Red	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	Red	Gary's personal account is the bottleneck

The core structure

Wyoming UNA/DUNA (nonprofit, DAO legal wrapper)

- Own bank account (partner contributions + impact fund capital)
- TDG holders govern the DUNA (pseudonymous — wallet only)
- TrueTech Inc = DAO-operated facility (customs/FDA, not a member)
- Own bank account (import expenses, TDG buyback to burn)
- Brazilian LTDA (CNPJ) = export facility (eventually DUNA-owned)

Key design decisions

- TrueTech Inc = DAO-operated facility — Not a member. No TDG compensation. No voting rights.
- Two separate bank accounts — TrueTech Inc (commercial) + DUNA (mission/treasury)
- TDG buyback to burn — Member submits DApp withdrawal, selects method, TrueTech Inc issues cash via Wise API, TDG deducted
- UNA to DUNA auto-conversion — OtoCo handles via smart contract at 100 members
- Wise as single banking platform — Both entities use Wise Business accounts with API automation
- Brazil CNPJ eventually DUNA-owned — Removes single-person dependency on Matheus

2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers to Matheus (private CNPJ) to Export to TrueTech Inc to Gary's personal bank account to DAO expenses

Target (with DUNA):

Brazil Farmers to DUNA-owned CNPJ to Export to TrueTech Inc (facility) to TrueTech Inc account

Partners (Nora, etc.) to DUNA bank account to tree planting / DAO expenses

Impact funds to DUNA bank account to tree planting / carbon credits

Member exit to Member submits DApp withdrawal to TrueTech Inc issues cash via Wise API to TDG deducted

Treasury Snapshot

Item	Amount
Main Ledger USD	$3,476.27
Main Ledger USDT	$66.93
Main Ledger Brazilian Reis	R$2,511.97 (~$583.53 USD)
Total available cash	~$4,126.73
TDG issued	~2.3M tokens across ~350 contributors

Only Main Ledger cash is available. Managed ledgers are earmarked for cacao shipment financing.

3. CTA Beneficial Ownership — Who Reports

Under the Corporate Transparency Act, anyone with substantial control or 25%+ ownership must report BOI to FinCEN.

Rank	Contributor	% Controlled	CTA Trigger?
1	Gary Teh	40.76%	Yes
2-350+	All others	under 3% each	No

Result: Only Gary needs to report. Every other TDG holder remains pseudonymous.

4. Impact Fund Capital Injection Pathways

Pathway	Timeline	Tax Deductible?
A: Direct donation to DUNA	Immediate after DUNA formed	No (but fund can still donate via PRIs, TDG-for-capital)

Pathway	Timeline	Tax Deductible?
B: Fiscal sponsorship bridge	1-3 months	Yes (via sponsor)
C: DUNA's own 501(c)(3)	6-12 months	Yes (directly from DUNA)

The pitch: Fund tree planting through our Wyoming DUNA. You get verified impact reports, future carbon credits, and voting rights in the DAO.

5. Implementation Timeline — Parallel Tracks

Track	What	Cost	Timeline
Track A: TrueTech Inc Wise	Opens Wise Business account for commercial transactions	$0-500	This week (1-2 days)
Track B: UNA Formation	Gary + TrueTech Inc sign OtoCo to UNA formed	~$50 gas	This week (1 day)
Track C: UNA Wise	UNA gets EIN to opens its own Wise Business account	$0	2-4 weeks

No dependency between tracks.

6. Member Exit / TDG Buyback Mechanism

Current Flow (Live Today)

When a member wants to exit, they use the DApp withdrawal page:

https://dapp.truesight.me/withdraw_voting_rights.html

The flow:

1. Member connects wallet and signs in on the DApp
2. DApp shows their total voting rights, value per right, and available USD reserves
3. Member enters the number of voting rights to cash out
4. Member selects their Withdrawal Method from the dropdown:
    - PIX (Brazil)
    - PayLah (Singapore)
    - Venmo (USA)
    - Zelle (USA)
    - PayPal (International)
    - WiseTransfer (International)

- Western Union (International)

5. Member enters their account details for the selected method
6. Member submits — request is recorded in the ledger
7. TrueTech Inc issues cash via the selected method
8. Member's TDG balance is deducted from the ledger
9. TDG is effectively burned — removed from circulation

What Changes with the DUNA

The buyback budget and price are already fully automated by the existing tokenomics GAS script:

Metric	Formula	Current Value
Buyback budget	(30-day sales / 30) x min(Asset/TDG, 1 - Treasury yield)	$0.093/day
Buyback price	Total DAO assets / Total TDG issued	$0.0067/TDG
Execution	createDailyTdgBuyBackTransactions() — creates ledger entries daily	Automated

With the DUNA, the only change is the source account — from Gary's personal account to TrueTech Inc's Wise account. The automation stays the same.

Aspect	Today	With DUNA
Who issues cash	TrueTech Inc (from Gary's personal account)	TrueTech Inc (from its own Wise account via API)
Who authorizes	Automated — GAS script calculates budget daily	Same — DUNA governance can adjust formula
Buyback price	Automated — ASSET_PER_TDG_ISSUED ($0.0067)	Same — formula-driven
Buyback budget	Automated — $0.093/day from 30-day sales x asset/TDG	Same — scales with revenue
TDG deduction	Ledger entry	Same — ledger entry
Transparency	On-chain via Edgar API + Wise API reconciliation	Same

7. Resource Gap Analysis

What We Have

- Mission clarity, on-chain governance, physical supply chain

- Tree-planting pipeline, partner network, carbon credit potential
- AWS/Edgar/tokenomics infrastructure, SVH Capital connection
- Wise banking relationship, Wise API access, member exit mechanism (DApp + ledger)
- Fully automated buyback budget and price calculation

What We Need

Need	Est. Cost
Legal counsel (DUNA to Brazil CNPJ)	$5K-15K
501(c)(3) tax attorney	$2K-10K
Brazilian legal representative	$1K-3K
Multi-entity accounting	$2K-5K/yr

8. Questions for SVH Capital (June 26)

1. DUNA formation: Can you refer us to a Wyoming law firm specializing in DUNA formation for DAOs?

2. Cost efficiency: Is OtoCo's on-chain UNA to DUNA path sufficient for our stage?

3. 501(c)(3) pathway: Realistic timeline and cost for IRS exemption for a DAO that plants trees?

4. Brazilian entity: Can a Wyoming DUNA own a Brazilian LTDA, or does it need a US holding LLC?

5. Governance clarity: How do we structure the DUNA so TDG holders clearly govern the DAO, and TrueTech Inc is clearly a facility?

6. TDG buyback to burn: Currently, members connect their wallet on the DApp, select a Withdrawal Method (PIX, PayLah, Venmo, Zelle, PayPal, WiseTransfer, Western Union), enter their details, and submit. TrueTech Inc issues cash via the Wise API and TDG is deducted. Can this continue as-is under a DUNA structure?

7. Impact fund capital: Can a Wyoming UNA issue TDG to impact funds in exchange for capital contributions?

9. Service Provider Reference

Service	Link
OtoCo (UNA formation)	https://otoco.io
Wise (banking + API)	https://wise.com
IRS EIN	https://www.irs.gov/ein

Service	Link
The Giving Block (fiscal sponsorship)	https://thegivingblock.com
Endaoment (on-chain fiscal sponsorship)	https://endaoment.org

Appendix: OtoCo UNA Formation Steps

1. Go to https://otoco.io
2. Connect wallet (MetaMask or compatible)
3. Select Summon a UNA
4. 2+ wallet addresses sign the smart contract
5. Pay gas (~$50)
6. UNA is formed
7. Apply for EIN at https://www.irs.gov/ein (free)
8. Open Wise Business account using UNA's EIN
9. When membership exceeds 100 wallets, UNA auto-converts to DUNA

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